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CASE #	CASE NAME	HEARING NAME
CVRI2300147	MCCOY. VS FLEETWOOD ALUMINUM PRODUCTS, INC.	MOTION TO BIFURCATE ON COMPLAINT FOR OTHER EMPLOYMENT (OVER \$25,000) OF MARK MCCOY

Tentative Ruling: No tentative ruling; the Court requests appearances, either in person or telephonically.

2.

CASE #	CASE NAME	HEARING NAME
CVRI2300147	MCCOY. VS FLEETWOOD ALUMINUM PRODUCTS, INC.	MOTION FOR SUMMARY JUDGMENT OR IN THE ALTERNATIVE SUMMARY ADJUDICATION ON COMPLAINT FOR OTHER EMPLOYMENT (OVER \$25,000) OF MARK MCCOY

Tentative Ruling: The Court GRANTS Defendant/Cross-Complainant Fleetwood Aluminum Product's Inc.'s Motion(s) for Summary Judgment.

This motion, which is really two motions—one for MSJ/MSA on Fleetwood's Cross-Complaint against Cross-Defendant Mark McCoy, and MSJ/MSA on McCoy's Cross-Complaint ("CC") against Fleetwood—is brought by Cross-Complainant/Cross-Defendant Fleetwood Aluminum Products, Inc. Fleetwood moves the court for summary judgment on its cross-complaint and alternatively for summary adjudication as to McCoy's affirmative defense based on the business judgment rule on the grounds there is no triable issue as to any material fact in light of the binding and preclusive findings established the final arbitration award issued in Mark McCoy v. Fleetwood Aluminum Products, Inc.

Fleetwood asserts that the issues in the arbitration are identical to the issues in Fleetwood's CC which were litigated and necessarily decided, which decision is final and on the merits. Fleetwood asserts that applying the binding findings, Fleetwood establishes breach of fiduciary duties as a matter of law as McCoy owed Fleetwood fiduciary duties as a director and officer and breached those duties by implementing the sham section 139 Plan and refusing to implement corrective steps. Further, Fleetwood asserts that McCoy's breach caused Fleetwood to suffer harm.

As to McCoy's CC, Fleetwood asserts that his claim for express indemnity fails as a matter of law as indemnification is barred because the arbitrator found McCoy engaged in bad faith and misconduct, McCoy cannot establish mandatory indemnification under section 317(d) and the Bylaws do not expand indemnification beyond section 317.

In opposition, McCoy asserts that Fleetwood's CC does not belong in this court as it was required to be arbitrated. McCoy asserts that Fleetwood is forum shopping and engaging in gamesmanship. Further, McCoy asserts that the CC is improperly raised because he is not the plaintiff in this lawsuit as only the derivative claims survive and the employment claims were sent to arbitration. While collateral estoppel may apply to certain issues not raised here (e.g., whether Mr. McCoy was terminated based on age and religion), it demonstrably does not apply to Fleetwood's theories on Section 139, or any other purported legitimate, nondiscriminatory reason for removing Mr. McCoy from the Board, suspending him, and terminating him. Next, McCoy asserts that Fleetwood fails to establish that he breached his fiduciary duties.

In reply, Fleetwood asserts McCoy's opposition cannot, and does not, identify a single triable issue of material fact. For good reason: every material fact needed to grant summary judgment already has been: (i) found by the Arbitrator after a two-week evidentiary hearing; (ii) confirmed by this Court; and (iii) reduced to a final judgment from which McCoy never appealed.

Procedural Issue

McCoy's Separate Statement: McCoy's responses fail to comply with the requirement to either state that the UMF was undisputed or disputed. CCP §437c(b)(3).

Evidentiary Issues

Evidentiary Objections:

C.C.P. §437c(q) provides as follows: "In granting or denying a motion for summary judgment or summary adjudication, the court need rule only on those objections to evidence that it deems material to its disposition of the motion. Objections to evidence that are not ruled on for purposes of the motion shall be preserved for appellate review."

McCoy filed evidentiary objections to the Declarations of Michael Davis and Gregory Nylen, which the Court rules on as follows:

Declaration of Attorney Nylen:

- 1: SUSTAIN
- 2 – 6: OVERRULE
- 7 – 8: OVERRULE
- 9-13: SUSTAIN
- 14: OVERRULE
- 15-91: OVERRULE

As the transcripts of the arbitration proceeding are certified transcripts of testimony under oath given with respect to the arbitration ordered in this case, the Court overrules the objections.

Declaration of Michael Davis:

1 – 36: OVERRULE

Fleetwood submitted the following evidentiary objections, which the Court rules on as follows:

McCoy Compendium of Evidence:

1 – 11: OVERRULE

12: SUSTAIN (inadmissible hearsay)

13: OVERRULE

14: SUSTAIN (irrelevant)

Declaration of Mark McCoy:

1-2: OVERRULE

New Evidence Submitted with Reply:

Fleetwood submitted supplemental evidence with its reply. Section 437c(b)(4) of the Code of Civil Procedure provides: “[t]he reply shall not include any new evidentiary matter, additional material facts, or separate statement submitted with the reply and not presented in the moving papers or opposing papers.” Accordingly, the Court disregards the newly filed supplemental evidence in ruling on these motions.

Analysis

Fleetwood’s Cross-Complaint: Fleetwood’s Cross-Complaint alleges a single cause of action for breach of fiduciary duties against Mark McCoy based on the following allegations:

McCoy surreptitiously attempted to replace Fleetwood’s bonus program with sham “disaster relief” payments that did not comply with 26 U.S.C. section 139. While the Board initially approved this bonus program, it did so only because McCoy had represented to them that it was lawful and proper. Specifically, McCoy assured the Board that the program was approved by “the professionals,” when he knew that wasn’t the case. By way of example only, Fleetwood’s outside accounting firm Weaver and Tildwell, LLP (“Weaver”) raised red flags concerning the program that McCoy did not bring to the Board’s attention. Ultimately, when Weaver informed the company in no

uncertain terms that this program in fact did not comply with applicable tax laws, the Board promptly demanded that McCoy take steps recommended by Weaver to remedy the situation. When McCoy refused to do so, the Board suspended and ultimately dismissed him. Fleetwood subsequently implemented the measures necessary to remedy the issue at a cost of hundreds of thousands of dollars to the company. Additionally, while serving as Fleetwood's CEO, McCoy increased executive bonuses—including his own—without Board approval, and engaged in other self-dealing as well. Moreover, while serving as Fleetwood's CEO, McCoy approved the use of a company credit card for the personal expenses of former Fleetwood employee and VP of Finance Bryan Graves ("Graves"). Fleetwood is still investigating whether McCoy approved other improper use of the company credit card by Graves while McCoy was a Director and officer of the company. All of this resulted in McCoy's dismissal in March 2022.

McCoy's Cross-Complaint: McCoy's Cross-Complaint alleges a single cause of action for express indemnity related to Defendant Directors Cross-Complaint against him, which arise out of his role as a director, officer and shareholder of Fleetwood. Pursuant to section 2.25 of Fleetwood's Bylaws, Fleetwood is required to indemnify him for any liability arising out of the CC.

From approximately 1998 to February 11, 2022, McCoy was a Director on Fleetwood's Board of Directors (the "Board"). (UMF 3.) Between December 30, 2020, and March 25, 2022, McCoy served as President and Chief Executive Officer (CEO) of Fleetwood, although he was suspended from those roles on February 11, 2022. (UMF 4.) As a director of Fleetwood, McCoy owed fiduciary duties to the corporation, including duties to act in good faith, in a manner he believed to be in the best interests of the corporation, and with reasonable inquiry. (UMF 5.) As President and CEO, McCoy exercised authority over Fleetwood's operations and finances and owed fiduciary duties to act in the best interests of the corporation. (UMF 6.)

McCoy initiated an arbitration proceeding against Fleetwood, asserting claims including breach of contract, age discrimination, religious discrimination, failure to prevent discrimination, and wrongful termination. (UMF 11.) Following a ten-day evidentiary hearing at which eighteen witnesses testified—including three experts and one treating physician—and voluminous documentary evidence was submitted, the Honorable Terry A. Green (Ret.) issued a written Final Award on August 6, 2025 in favor of Fleetwood. (UMF 13.) The Award was subsequently confirmed by the Court, and judgment was entered in Fleetwood's favor on December 10, 2025. (UMF 13; Nylen Decl. Ex. 9.)

The arbitrator's findings, which were made part of this court's order, include the following:

(8). Claimant's implementation of The Plan was objectively unreasonable, the concerns of The Board regarding The Plan were legitimate and reasonable and demands of The Board for immediate corrective action were not a pretext to

cover up otherwise unlawful motives in terminating Claimant. (Arbitrator's Award, Ex. 15.)

(9). Claimant was advised by professionals that to qualify under Section 139, expenses must relate to the qualified disaster(here, COVID) and must be to replace" reasonable and necessary personal, family, living, or funeral expenses," or" expenses for the repair of a personal residence or replacement of its contents" incurred because of the COVID pandemic. Monies paid by Respondent pursuant to The Plan did not bear any material relationship to any COVID losses incurred by any of Respondent' s officers, directors, or employees. (Arbitrator's Award, Ex. 15.)

(10). Claimant was advised by professionals that to qualify under Section 139, funds distributed must not be substitutes for income, wages, or be income replacement. Monies paid by Respondent pursuant to The Plan replaced Respondent's bonus program and other compensation. Other monies paid by Respondent pursuant to The Plan were misclassified holiday bonuses and gifts. Monies paid pursuant to The Plan thus were substitutes for income, wages and constituted income replacement. (Arbitrator's Award, Ex. 15.)

(11). Claimant approved over \$3.35 million in disaster relief payments including \$948,248.97 to the Executive Committee and \$284,468.97 to himself. (Arbitrator's Award, Ex. 15.)

(13). Claimant had informed The Board that professionals had approved of The Plan as implemented. No professional approved The Plan as implemented. (Arbitrator's Award, Ex. 15.)

(14). Claimant refused to completely comply with The Board's requests for documents related to The Plan.

(15). Claimant twice refused to comply or cooperate with The Board's directives to take immediate corrective action with respect to issues relating to employee W-2s.

(19). Failure to correct the W-2s would have exposed the company, employees, and officers to substantial penalties and potential criminal liability. It cost Respondent \$1.655 million to rectify problems caused by The Plan. (Arbitrator's Award, Ex. 15.)

McCoy's SUMFs do not address the issues before the court regarding whether he breached his fiduciary duties owed to Fleetwood. More importantly, McCoy is collaterally estopped from disputing the Arbitrator's findings. Collateral estoppel precludes the relitigation of an issue only if: (1) the issue is identical to an issue decided in a prior proceeding; (2) the issue was actually litigated; (3) the issue was necessarily decided; (4) the decision in the prior proceeding is final and on the merits; and (5) the

party against whom collateral estoppel is asserted was a party to the prior proceeding or in privity with a party to the prior proceeding. (*Zevnik v. Superior Court* (2008) 159 Cal.App.4th 76, 82.)

CCP section 1287.4 provides that if an arbitration award is confirmed, that judgment entered will have the same force and effect as a judgment in a civil action and may be enforced like any other judgment of the court. (CCP section 1287.4.) This court's judgment confirmed the Final Arbitration Award "in its entirety" and ordered that it "shall constitute the final judgment on Plaintiff Mark McCoy's Individual Claims." Further, the entire Award was attached as Exhibit 1 and made a part of this court's judgment.

To rule on the merits of McCoy's individual employment claims, the arbitrator necessarily had to make certain findings regarding issues relevant to McCoy's termination. McCoy is collaterally estopped from relitigating the issues already determined in the arbitration proceeding as all of the elements are met.

Fleetwood's Cross-Complaint:

The elements of a claim for breach of fiduciary duty are (1) the existence of a fiduciary relationship, (2) its breach, and (3) damage proximately caused by that breach. (*O'Neal v. Stanislaus County Employees' Retirement Assn.* (2017) 8 Cal.App.5th 1184.)

McCoy owed Fleetwood a fiduciary duty both as a Director and as CEO. An officer serves at the pleasure of the board. (Corp. Code §312(b).) His duties as a Director are set forth in Corp. Code section 309, which also codifies the business judgment rule, as follows:

(a) A director shall perform the duties of a director, including duties as a member of any committee of the board upon which the director may serve, in good faith, in a manner such director believes to be in the best interests of the corporation and its shareholders and with such care, including reasonable inquiry, as an ordinarily prudent person in a like position would use under similar circumstances.

(b) In performing the duties of a director, a director shall be entitled to rely on information, opinions, reports or statements, including financial statements and other financial data, in each case prepared or presented by any of the following:

(1) One or more officers or employees of the corporation whom the director believes to be reliable and competent in the matters presented.

(2) Counsel, independent accountants or other persons as to matters which the director believes to be within such person's professional or expert competence.

(3) A committee of the board upon which the director does not serve, as to matters within its designated authority, which committee the director believes to merit confidence, so long as, in any such case, the director acts in good faith, after reasonable inquiry when the need therefor is indicated by the circumstances and without knowledge that would cause such reliance to be unwarranted.

(c) A person who performs the duties of a director in accordance with subdivisions (a) and (b) shall have no liability based upon any alleged failure to discharge the person's obligations as a director. In addition, the liability of a director for monetary damages may be eliminated or limited in a corporation's articles to the extent provided in paragraph (10) of subdivision (a) of Section 204.

(Corp. Code §309(a)-(c).)

Fleetwood met its burden of production as to each element as the Arbitrator's Award establishes that McCoy implemented a legally improper Section 139 program, authorized millions of dollars in payments—including to himself—mischaracterized professional approval, and refused to comply with Board-directed corrective action after concerns were raised, and the damages sustained by Fleetwood to correct the risks of The Plan to Fleetwood.

Therefore, the burden shifts to McCoy who failed to show that there remain material triable issues of fact regarding the fact that he had a duty, breached that duty and Fleetwood was damaged in the amount of \$1,655,365.47 in professional fees and related costs to investigate, unwind, and remediate the Section 139 program.

McCoy asserts, that at a minimum there are triable issues of fact that he acted in good faith and in a manner he believed to be in the best interests of Fleetwood, and with reasonable care, including relying on the research of other members of the Executive Committee and advice from qualified professionals on matters that he believed to be within their professional or expert competence, citing Corp. Code section 309. However, McCoy is collaterally estopped from raising these issues as they are contrary to the findings already entered in this case pursuant to the Arbitration Award findings. He failed to raise any material triable facts that could support finding that he acted in good faith and in a manner he believed to be in the best interests of Fleetwood.

Accordingly, the Court GRANTS the motion for summary judgment as to Fleetwood's Cross-Complaint.

McCoy's Cross-Complaint:

McCoy's Cross-Complaint alleges a single cause of action for express indemnity related to Defendant Directors Cross-Complaint against him, which arises out of his role

as a director, officer and shareholder of Fleetwood. Pursuant to section 2.25 of Fleetwood's Bylaws, Fleetwood is required to indemnify him for any liability arising out of the CC.

Fleetwood Bylaws include the provision that Fleetwood "shall, to the maximum extent permitted by the California General Corporation Law, indemnify each of its agents against expenses, judgments, fines, settlements, and other amounts actually and reasonably incurred in connection with any proceeding arising by reason of the fact that any such person is or was an agent of the corporation." (Bylaws, §2.25.)

Corp. Code section 317 provides as follows:

No indemnification shall be made under this subdivision for any of the following:

(1) In respect of any claim, issue or matter as to which the person shall have been adjudged to be liable to the corporation in the performance of that person's duty to the corporation and its shareholders, unless and only to the extent that the court in which the proceeding is or was pending shall determine upon application that, in view of all the circumstances of the case, the person is fairly and reasonably entitled to indemnity for expenses and then only to the extent that the court shall determine.

As Fleetwood is entitled to summary judgment on the issue of McCoy's liability for breach of fiduciary duty, it has met its burden to show that McCoy is not entitled to indemnity as Corp. Code section 317 provides that there is no indemnification entitlement where the individual was "adjudged to be liable to the corporation in the performance of that person's duty to the corporation."

Therefore, the burden shifts to McCoy who failed to show that there remain any material triable issues of fact. Accordingly, the Court GRANTS the motion for summary judgment as to McCoy's Cross-Complaint.

3.

CASE #	CASE NAME	HEARING NAME
CVRI2300147	MCCOY. VS FLEETWOOD ALUMINUM PRODUCTS, INC.	MOTION FOR SUMMARY JUDGMENT

Tentative Ruling: The Court GRANTS Motion for Summary Judgment.

Janice McCoy, Mica Gumbleton, Mara McCoy Cartier and Michele Davis move for summary judgment, or alternatively for summary adjudication, as to the derivative claims in Plaintiff's Complaint causes of action 6 – 9. The motion sets forth 20 "Issues"